

Maninos Capital
Mobile Homes Rent-to-Own Business

Operations Manual

Introduction

This Operations Manual outlines the standardized processes and procedures for Maninos Capital, ensuring efficient operations, scalability, and compliance with Texas and U.S. federal regulations. The manual covers the entire value chain:

- 1. Purchase of Mobile Homes.**
- 2. Customer Onboarding.**
- 3. Debt Raising for Acquisitions.**
- 4. Rent Collection and Portfolio Management.**
- 5. Home Delivery and Customer Loyalty.**

Each process includes clear procedures, responsible areas, KPIs, and risk mitigation strategies to support institutionalization and scalability.

This manual provides a comprehensive framework for Maninos Capital to institutionalize operations and scale its rent-to-own mobile home business in Texas. By standardizing processes, leveraging technology, and ensuring compliance, the company can achieve operational efficiency, customer satisfaction, and sustainable growth.

1. Purchase of Mobile Homes

Objective:

Efficiently acquire used mobile homes in excellent condition that meet predefined quality and investment criteria to ensure profitability and customer satisfaction.

Procedures

1. Market Research and Sourcing.

- Identify target markets in Texas (e.g., Houston, Dallas, San Antonio) with high demand for affordable housing.
- Source mobile homes through real estate platforms, auctions, direct sellers, and mobile home parks.
- Use data analytics to assess market trends, pricing, and appreciation potential.

2. Attribute Checklist for Purchase:.

-Physical Condition:

- No structural damage (e.g., roof, foundation, walls).
- Functional plumbing, electrical, and HVAC systems.
- Cosmetic condition suitable for immediate rental or minor renovations (<\$5,000).

- Location:

- Proximity to employment hubs, schools, and amenities.
- Located in mobile home parks with stable management and low lot rental fees.

- Financial Criteria:

- Purchase price $\leq$ 70% of market value to ensure profitability.
- Renovation costs + purchase price $\leq$ 80% of after-repair value (ARV).
- Potential rental income $\geq$ 1.5% of purchase price per month.

- Legal Compliance:

- Clear title with no liens or encumbrances.
- Compliance with Texas Department of Housing and Community Affairs (TDHCA) regulations for mobile homes.

3. Inspection and Due Diligence:

- Conduct physical inspections by certified inspectors.
- Verify title status and ownership history through TDHCA records.
- Assess lot lease agreements and park regulations.

4. Negotiation and Acquisition:

- Negotiate purchase price based on comparable sales and condition.
- Finalize contracts with legal review to ensure compliance.

5. Inventory Management:

- Log acquired homes in a centralized ERP system (custom CRM).
- Categorize homes by location, condition, and projected rental terms (24 , 36 or 48 months).

Responsible Area

- Procurement Team: Sources and negotiates purchases, conducts due diligence.
- Legal Team: Ensures compliance with TDHCA and federal regulations.
- Finance Team: Approves budgets and tracks acquisition costs.

KPIs

- Acquisition Cost Efficiency: Total cost (purchase + renovation) $\leq$ 80% of ARV.
- Acquisition Speed: Average time from sourcing to closing $\leq$ 30 days.
- Inventory Turnover: $\geq$ 90% of purchased homes rented within 60 days.
- Compliance Rate: 100% of purchases compliant with TDHCA regulations.

Risk Mitigation

- Use standardized checklists to avoid substandard purchases.
- Maintain a diversified portfolio across Texas regions to reduce market risk.
- Conduct regular audits of title and inspection processes.

2. Customer Onboarding

Objective: Provide a seamless, online onboarding process for tenants, ensuring a positive customer experience, robust KYC compliance, and risk mitigation for rent-to-own agreements.

Procedures

1. Target Customer Profile:

- Demographics: Low-to-middle-income families or individuals (annual income \$30,000–\$60,000).
- Socioeconomic Level: Primarily blue-collar workers, service industry employees, or gig economy workers.

- Financial Culture: Limited credit history (credit score 500–650) but stable income.
- Employment Status**: Employed or self-employed with verifiable income ($\geq 3x$ monthly rent).
- Immigration Status: U.S. citizens, permanent residents, or individuals with valid work permits (e.g., DACA recipients).

2. Onboarding Process:

- Online Application:

- Customers apply via a mobile-friendly platform (website/app).
- Collect personal information (name, address, SSN/ITIN), income details, and employment history.

- KYC Compliance:

- Verify identity using third-party tools (e.g., ID.me, Experian).
- Conduct background checks (criminal, eviction history).
- Comply with federal regulations (e.g., Patriot Act, Fair Housing Act).

- Financial Assessment:

- Require proof of income (pay stubs, tax returns, bank statements).
- Assess debt-to-income (DTI) ratio (target $\leq 40\%$).

- Contract Customization:

- Offer 24-month, 36-month or 48-month rent-to-own contracts based on risk profile:
 - Low Risk (credit score >600 , stable income): 24 months, 20% down payment.
 - High Risk (credit score <600 , variable income): 48 months, 30% down payment.
 - Monthly rent = 1.5%–2% of home value, with 50% credited toward purchase price.

- Customer Journey Communication:

- Provide a digital dashboard for customers to track application status, contract terms, and payment schedules.
- Send automated welcome emails/SMS with contract details and FAQs.

3. Customer Experience:

- Offer multilingual support (English/Spanish) to cater to diverse Texas demographics.
- Provide virtual tours of mobile homes and transparent pricing.
- Assign a dedicated customer success agent for personalized support.

Responsible Area

- Customer Success Team: Manages onboarding, customer communication, and support.
- Compliance Team: Oversees KYC and regulatory adherence.
- IT Team: Maintains online platform and data security.

KPIs

- Onboarding Time: Average time from application to contract signing ≤ 5 days.
- Customer Satisfaction: Net Promoter Score (NPS) ≥ 80 .
- KYC Compliance Rate: 100% of customers verified per regulatory requirements.
- Conversion Rate: $\geq 70\%$ of applicants approved for rent-to-own contracts.

Risk Mitigation

- Use automated KYC tools to reduce fraud risk.
- Implement data encryption and GDPR-compliant storage for customer data.
- Establish clear escalation protocols for high-risk applicants.

3. Debt Raising for Home Acquisitions

Objective:

Secure for each location (patio), €100,000 monthly in debt financing at 12% annual interest over 12 months to fund mobile home purchases, aligned with commercial placement goals.

Procedures:

1. Financial Planning:

- Forecast acquisition needs based on rental placement targets (e.g., 5 homes/month at \$20,000/home).
- Align debt raising with projected cash flows from rent-to-own contracts.

2. Investor Outreach:

- Target accredited investors, real estate funds, and financial institutions specializing in alternative assets.
- Create pitch decks highlighting Maninos Capital's track record, ROI, and risk mitigation strategies.
- Leverage crowdfunding platforms (e.g., Briq, YieldStreet) for smaller investors.

3. Debt Structuring:

- Offer 12-month promissory notes at 12% annual interest, secured by mobile home assets.
- Structure payments as interest-only with principal repayment at maturity.
- Provide investors with quarterly performance reports on portfolio health.

4. Compliance and Documentation:

- Comply with SEC regulations for private placements (e.g., Regulation D).
- Draft loan agreements with legal oversight, specifying collateral and repayment terms.
- Conduct due diligence on investors to ensure legitimacy.

5. Portfolio Alignment:

- Match debt raises to rental placement rates to avoid over-leveraging.
- Maintain a debt-to-equity ratio $\leq 2:1$ minimum for financial stability.

Responsible Area

- Finance Team: Structures debt deals and manages investor relations.
- Legal Team: Ensures SEC compliance and drafts agreements.

- Commercial Team: Provides placement forecasts to guide debt needs.

KPIs

- Funding Success Rate: $\geq 90\%$ of targeted €100,000 raised monthly.
- Cost of Capital: Average interest rate $\leq 12\%$ annually.
- Investor Retention: $\geq 80\%$ of investors reinvest in subsequent rounds.
- Compliance Rate: 100% adherence to SEC regulations.

Risk Mitigation

- Diversify investor base to reduce reliance on single funding sources.
- Maintain a reserve fund (10% of raised capital) for unexpected repayment issues.
- Regularly audit financial projections to ensure alignment with market

4. Rent Collection and Portfolio Management

Objective: Implement a robust system for monitoring and collecting rents, managing contracts, and mitigating portfolio risks.

Procedures

1. Contract Development:

- Draft rent-to-own contracts specifying:
 - o Monthly rent, down payment, and purchase option terms.
 - o Tenant responsibilities (e.g., insurance, maintenance, lot fees).
 - o Default conditions and repossession protocols.
 - o Ensure compliance with Texas Property Code and federal Fair Housing Act.

2. Online Rent Management System:

- Use a cloud-based platform (e.g., Buildium, AppFolio) for:
- Automated rent collection via ACH, credit card, or digital wallets.(Avoid cash).
- Real-time portfolio monitoring (payment status, delinquencies).
- Document storage for contracts, tenant records, and property details.
- Provide tenants with a mobile app to view payment history and submit maintenance requests.

3. Risk Mapping and Mitigation:

- Categorize tenants by risk level (low, medium, high) based on credit score, DTI, and payment history.
- Implement early warning systems for late payments (e.g., SMS reminders after 5 days).
- Escalate delinquencies to collections after 30 days, with repossession after 60 days per Texas law.

4. Portfolio Reporting:

- Generate monthly reports on portfolio performance (e.g., occupancy rate, delinquency rate, debt rent rate, cap rate,).
- Track KPIs and share with investors and management.

Responsible Area

- Operations Team: Manages rent collection and portfolio monitoring.
- Legal Team: Drafts contracts and handles default cases.
- IT Team: Maintains rent management system.

KPIs

- Collection Rate: $\geq 95\%$ of rents collected on time.
- Delinquency Rate: $\leq 5\%$ of tenants >30 days late.
- Portfolio Occupancy: $\geq 90\%$ of homes rented at all times.
- System Uptime: 99.9% availability of rent management platform.

Risk Mitigation

- Use automated reminders and flexible payment plans to reduce delinquencies.
- Maintain insurance on properties to cover damages or tenant defaults.
- Conduct regular audits of portfolio data for accuracy.

5. Home Delivery and Customer Loyalty

Objective:

Efficiently finalize rent-to-own contracts, ensure legal and financial compliance, and foster customer loyalty for repeat business or referrals.

Procedures

1. Contract Finalization:

- Upon completion of the rent-to-own term, verify tenant eligibility for purchase (e.g., no defaults, full down payment credited).
- Conduct a final property inspection to confirm condition.
- Execute purchase agreement, transferring title per TDHCA regulations.

2. Legal and Regulatory Compliance:

- Comply with Texas Property Code for title transfers and disclosures.
- File IRS Form 1099-S for real estate transactions.
- Ensure compliance with federal Truth in Lending Act (TILA) for financing terms.

3. Customer Options:

- Option 1: Repurchase the Home:

- Offer to buy back the home at market value minus a loyalty discount (e.g., 5%).
- Resell or re-rent the home to a new tenant.

- Option 2: Upgrade to a New Home:

- Offer a trade-in program where tenants exchange their current home for a new mobile home under a new rent-to-own contract.
- Credit a portion of prior payments (e.g., 20%) toward the new contract.

4. Loyalty Programs:

- Offer referral bonuses (\$500–\$1,000) for customers who refer new tenants.
- Provide discounts on future contracts for repeat customers.
- Conduct annual customer satisfaction surveys to gather feedback.

Responsible Area

- Customer Success Team: Manages finalization and loyalty programs.
- Legal Team: Oversees title transfers and compliance.
- Finance Team: Handles tax filings and financial reporting.

KPIs

- Purchase Completion Rate: $\geq 80\%$ of tenants complete the purchase option.
- Customer Retention: $\geq 20\%$ of customers enter a second rent-to-own contract.
- Referral Rate: $\geq 10\%$ of new customers from referrals.

- Compliance Rate: 100% adherence to Texas and federal regulations.

Risk Mitigation

- Use standardized contracts to avoid legal disputes.
- Maintain a contingency fund for unexpected legal or tax issues.
- Document all transactions in the ERP system for auditability.

General Considerations for Scalability and Institutionalization, implementing the Running the company Board (SG) and the Building the company Board (JT).

Actions or To Do`s in the mid-term with part of the investment.

1. Technology Integration:

- Implement an ERP system (e.g., Salesforce) to centralize data across all processes.
- Use AI-driven analytics for market trends, customer risk profiling, and portfolio optimization.

2. Standardization:

- Develop SOPs for each process to ensure consistency across teams.
- Train staff regularly on procedures and compliance requirements.

3. Scalability Framework:

- Expand to additional Texas markets (e.g., Austin, El Paso) and other states once processes are stable.
- Explore partnerships with mobile home park operators to reduce lot rental costs.
- Explore strategic partnerships to make the offer stronger. (Full service model).

4. Regulatory Compliance:

- Monitor updates to TDHCA regulations and federal laws (e.g., Fair Housing Act, TILA).
- Conduct quarterly compliance audits.

5. Risk Management:

- Maintain a diversified portfolio to mitigate market fluctuations.
- Establish a crisis management plan for economic downturns or regulatory changes.

Executive Team & Partner

Sebastian González Zambrano

Founder and CEO Managing Partner

- Industrial Engineering & MBA
- Entrepreneur. Founded, operated and sold a series of companies in Mexico and US.
- Leading the “Running the Company” Board.

Jorge de la Torre Rosas

- Industrial Engineering, Financial & MBA.
- Investment Banking and Asset Management.
- Leading the “Building the Company” Board.

Appendices

1. Sample Rent-to-Own Contract Template:

- Includes terms for down payment, monthly rent, purchase option, and default clauses.

2. KYC Checklist:

- ID verification, income proof, background check requirements.

3. Acquisition Checklist:

- Detailed criteria for mobile home purchases.

4. Texas Regulatory Guide:

- Summary of TDHCA and federal regulations for mobile homes.

5. Promissory Note: